from the viewpoint of society at large, which would not easily be obtained through a bureaucratic solution.

Example 17: Trading in emission permits

A great success story of the Coasean approach is the trading in pollution permits. Under this system, scientists define a cap for the amount of pollutants, such as sulphur dioxide, that can be emitted by society at large. The government establishes a rule: Firms that wish to emit must buy permits. These permits are aligned to the cap set by the scientists. The government enforces the rule, inflicting punishment upon firms that emit beyond the permits purchased.

A market for these permits comes about. Each firm looks at the cost of the permit on the market versus the cost of pollution control, and optimally chooses what to do. At some firms, pollution reduction is easy: these firms prefer to reduce pollution. At other firms, pollution reduction is hard: these firms prefer to buy emission permits.

This results in the ideal outcome for society, where pollution control is done at the plants where the cost of reducing emissions is the lowest. For a contrast, it would be very difficult for a pollution control bureaucracy to understand which factories should reduce emissions.

The role of the state in Coasean solutions

The Coasean approach requires the state to play a role in clearly defining property rights. In the steel mill example, the state needs to establish the powers of the steel mill in controlling fishing or the powers of the fishery in controlling pollution. We are neutral between which of these two paths is taken; in both cases, the outcome works out to be optimal from the viewpoint of society. The key point is that property rights should be clear